VIDEO 1 | RESEARCH EVOLUTION

NVIDIA: the estimate changed; the later action held

Historical valuation: Sep 10, 2026 | Earlier annual model vs revised rolling forecast | USD/share unless marked otherwise

1 STARTING QUESTION

Research admission, not a buy call
Could Data Center growth become durable owner cash flow at a reasonable price?

Edition A: Sep 1
Demand, margin and valuation were still open.

2 EARLIER VALUATION | LAB 5

$62.72 base
$55.59-$72.40 WACC / g grid
WACC 15.88% | 24,514M weighted diluted shares
Watch/defer; limited reverse-DCF bracket failed.

3 REVISED VALUATION | PROJECT 1

$118.58 base
$55.93-$212.08 causal cases
WACC 13.90% | 24,242M diluted proxy
WATCH / DEFER at $218.36 close

The old interval is a sensitivity grid; the new interval is causal scenarios. Different definitions, not a measured improvement in accuracy.

WHAT CHANGED - AND WHY

Operating base: FY26 sales $215.94B -> LTM $302.97B.
Year 1 FCFF: $130.81B -> $191.48B*.
Lab11: withheld a new value until classification / terminal issues were fixed.
Rebuild: signed FCFF, investments outside operating NWC, terminal reinvestment.

INDEPENDENT SOURCE CHECK

July 26, 2026 balance sheet, USD millions
Cash 22,443 + debt securities 34,143
= 56,586 cash / debt securities
Marketable equity **42,783 is separate**.
Investment gains are not operating cash.
AI classification output: CORRECTED

WHAT HELD / WHAT WOULD CHANGE

Lab5 -> final: watch/defer held.
Growth, WACC and recoveries remain assumptions to challenge.
Demand must convert to collections and margins; supply commitments are not orders.
Conditional entry: <= $94.87 with refreshed evidence.

Source of change: course -> FCFF framework; prior labs -> recorded limitations; AI -> rebuild / checks; filings + numerical tests -> accept or qualify outputs. No single correction explains the full valuation change.

* Different forecast windows / methods; not a realized cash-flow gain or a controlled price bridge. Original checkpoint receipt remains separate.

VIDEO 2 | CODE AND VALIDATION

From one driver to FCFF - then challenge the result

Saved code / numerical outcomes shown here | Record the fresh-environment run as a short terminal overlay; no tab scrolling needed

INPUT

DSO 75 days
Revenue $417,865M

BALANCE / CASH

AR 85,862.67M
Change NWC 16,099.14M

OPERATING FCFF

191,481.49M
After tax + D&A; - capex - change NWC

OWNERSHIP VALUE

$118.58 / share
EV -> claims -> equity / diluted shares

Source excerpts (model.py) + terminal math
`b['ar']=revenue*c['dso']/365`
`fcff=nopat+da-capex-delta_nwc` | Terminal math: `NOPAT5*(1+g)*(1-g/ROIC)`

KNOWN ANSWER - NOT JUST "IT RUNS"

Published course training case
EV expected 1,624.87M
Actual **1,624.86852M**
Price expected $27.50
Actual **$27.49737**
All 9 sensitivity cells checked.
25 forecast-year articulation checks.

EXPECTED -> ACTUAL -> DECISION

WACC +1 percentage point
13.90% -> 14.90%
Value **$118.58 -> $108.38**
Expected lower; actual lower.
WATCH / DEFER remains: market price still fails the entry threshold.

HIGH-RISK FAILURE EVIDENCE

Forced cash deficit is rejected:
"cash below floor; explicit funding needed"
Wrong investment scaling:
False discounted investment $126.46B (~$5.22/share).
Bounded diagnostic, not a full alternate valuation.

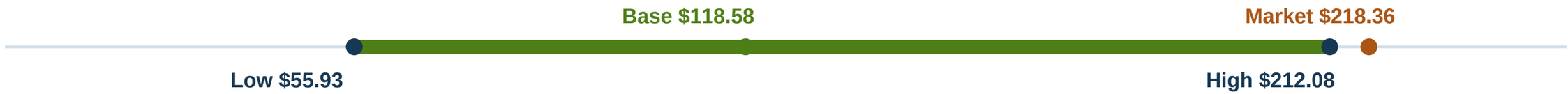
Controls: cash from CFO + CFI + CFF; equity from retained income; no balancing plugs; g < WACC; SBC cost retained. **Evidence boundary:** these are technical test results, not proof of an independently authored human prediction or an unseen student run.

Full year 1 FCFF shown before the elapsed valuation-stub adjustment. A PASS on the forced-error test means the invalid input was caught.

WATCH / DEFER - require price AND evidence

No existing position | 12-24 month decision horizon | Historical Sep 10, 2026 close: $218.36 | Not a current quote

Causal intrinsic range, not confidence limits or a mechanical average



Conditional base entry ceiling: <= $94.87 (20% margin of safety) + supported operating / commitment evidence

WHY THIS DCF NEEDS CAUTION

WACC **13.90%** | g **3%** | terminal ROIC **25%**
Terminal value: **65.1% of EV**.
WACC +1pp -> **$108.38**/share.

Market price implies **+19.82pp** in EVERY DC growth rate, holding other base inputs fixed.
One conditional solution, not proof the market is wrong.

WHY METHODS DISAGREE

DCF causal: $55.93-$212.08
Annual P/E: $370.66-$931.18
EV / annual sales: $213.26-$251.76

Annual earnings lag rapid growth.
AMD: different margins / product mix.
AVGO: software / acquisition mix.
Two peers; do not average methods.

WHAT WOULD REVERSE THE ACTION

Review each quarterly filing.
Two quarters DC growth <20%: challenge durability.
DSO >95 or GM <70%: challenge conversion / profitability.
Material capacity / guarantee losses: reassess immediately.

Initiate only with price cushion AND supported demand, margins, collections and funding.

Downside changes action: DC growth 20% ->3%; GM 70% ->66%; DSO 95; supply / guarantee losses -> **DO NOT INITIATE (~$56)**. This adverse-regime risk gate is a declared decision policy.

Ownership bridge: operating EV $2,793.8B + net adjustments $80.9B = equity $2,874.7B / 24.242B diluted proxy shares = $118.58.

Assumptions and simplified financing / investment recoveries remain challengeable. Refresh market, cap-table and commitment evidence before any trade.